

THE 1987 BREAK	1987 HIGH	1987 LOW	OCTOBER 1988
Wal-Mart	\$41	\$20	\$31 $\frac{3}{8}$
Dreyfus	45	16	25 $\frac{5}{8}$
Albertson's	34	21	36 $\frac{1}{8}$
Home Depot	28	12 $\frac{1}{2}$	28 $\frac{3}{8}$
Student Loan Marketing	88	62	83 $\frac{7}{8}$
Toys "R" Us	42	22	38 $\frac{1}{4}$
Coca-Cola	53	28	43 $\frac{1}{8}$
Pier 1	14	5	11 $\frac{1}{4}$
Inco	24	14	28 $\frac{5}{8}$
Envirodyne	29 $\frac{1}{4}$	10 $\frac{7}{8}$	26

WHEN TO SELL

Even the most thoughtful and steadfast investor is susceptible to the influence of skeptics who yell "Sell" before it's time to sell. I ought to know. I've been talked out of a few tenbaggers myself.

Soon after I started managing Magellan in May of 1977, I was attracted to Warner Communications. Warner was a promising turnaround from a conglomerate that had diworseified. Confident of the fundamentals, I invested three percent of my fund in Warner at \$26.

A few days later I got a call from a technical analyst who follows Warner. I don't pay much attention to that science of wiggles, but just to be polite I asked him what he thought. Without hesitation he announced that the stock was "extremely extended." I've never forgotten those words. One of the biggest troubles with stock market advice is that good or bad it sticks in your brain. You can't get it out of there, and someday, sometime, you may find yourself reacting to it.

Six months or so had passed, and Warner had risen from \$26 to \$32. Already I was beginning to worry. "If Warner was extremely extended at \$26," I argued to myself, "then it must be hyperextended at \$32." I checked the fundamentals, and nothing there had changed enough to diminish my enthusiasm, so I held on. Then the stock hit \$38. For no conscious reason I began a major sell program. I must have decided that whatever was extended at \$26 and hyperextended at \$32 has surely been stretched into three prefixes at \$38.

Of course after I sold, the stock continued its ascent to \$50, \$60, \$70, and